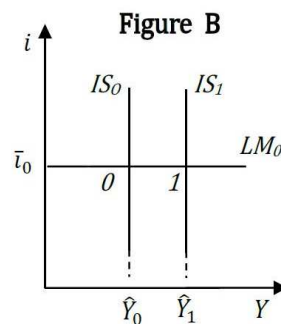
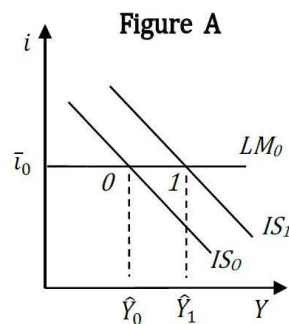


Question 1 (7.5 points)

In country Macro, described by the IS-LM model, government purchases of goods and services, net taxes and investment are exogenous ($G = \bar{G}$, $T = \bar{T}$ and $I = \bar{I}$), while the consumption function is $C = c_0 + c_1(Y - \bar{T}) - h_2i$, where the parameter $h_2 > 0$ is the sensitivity of consumption to the interest rate. Finally, the central bank chooses the interest rates. When Macro was in an initial equilibrium denoted by '0' in the figure, the government of the country cuts net taxes and the economy reaches the new equilibrium '1'. Given the above assumptions, which of the two following figures, A or B, represents the economy of Macro and the new equilibrium it will reach after the fiscal policy experiment just described? Explain the reasons for the changes in equilibrium income, consumption and investment that will take place in the move from '0' to '1'. As the economy goes from the first to the second equilibrium, how must the changes in consumption and in income be related to one another?



ANSWER

[illegible]

Question 2 (7.5 points)

Suppose now that Macro's central bank intends to bring back equilibrium income to Y_0 , the level prevailing before the tax cut described in the previous question. In your opinion, choosing a new level for the interest rate would allow it to achieve its goal? If so, compare the composition of aggregate demand in the new equilibrium that would be reached following the central bank's monetary policy intervention with that prevailing in the initial equilibrium '0'. If, instead, you think that changing the interest rate would not bring back income to Y_0 , carefully explain why.

ANSWER

This image shows a full page of primary-ruled paper. It features multiple sets of horizontal lines, each consisting of a solid top line, a dashed middle line, and a solid bottom line. These lines are evenly spaced across the entire page, providing a guide for letter height and placement. The background is white, and there are no margins or additional markings present.

Question 3 (7.5 points)

True or False?

Explain whether the following statement is true or false. Motivate your answer in a brief but rigorous way, by making explicit reference to the relevant theory. Lack of proper explanations will result in zero points.

“The *zero lower bound* for the nominal interest rate implies that, if expected inflation is -3% , then the real interest rate cannot be smaller than -3% ”.

ANSWER

This image shows a full page of primary-ruled paper. It features multiple sets of three horizontal dashed lines, which are commonly used to guide handwriting practice for young students. The lines are evenly spaced across the entire page, providing a template for letter formation and alignment. There is no text or other markings on the paper.

Question 4 (7.5 points)

By making reference to the graph “supply of goods-demand for goods” used to analyse the determination of the medium-run equilibrium, natural real interest rate, r_n , explain if and how r_n will change if, following a change in preferences, autonomous consumption c_0 goes up. In addition, compare the composition of aggregate demand prevailing in the new medium run equilibrium that will be reached after this change with that prevailing before the increase in c_0 . Explain.

ANSWER

[illegible]